Agenda

TotalEnergies

Company Overview

Company Highlights

Overview: Pioneering Energy Innovation
Founded in 1924, TotalEnergies SE is a global energy leader with nearly a century of expertise. Initially focused on oil and gas, it has diversified into natural gas, electricity, and renewables, becoming a leader in LNG and advancing flagship projects like the Al Kharsaah solar plant in Qatar. With its commitment to innovation and sustainability, the company aims for net-zero emissions by 2050.

Strategy: Innovation and Sustainability at the Core
TotalEnergies operates in over 130 countries, producing 2.43 Mboe/d in 2024 and ranking as the world's second-largest private LNG producer. It invests heavily in low-carbon technologies, including wind, solar, and green hydrogen, while maintaining integrated operations across refining, marketing, and advanced trading. Its global infrastructure ensures reliable access to energy markets worldwide and supports its leadership in the energy transition.

Key Metrics	Unit
Gross Margin	27.14%
ROIC	7.51%
Debt to Equity ratio	0.51
Cash ratio	0.53x
ROA	5.30%
Profit Margin	8.30%

Revenue Mix	%
Exploration & Production	48,2 %
Integrated LNG	23,7 1%
Refining & Chemicals	17,1 1%
Integrated Power	10,5 6%

Industry Data	Average
Energy Sector	
EV/EBITDA 3,6x	5,8x
EV/Revenue - 0,8x	1,3x
P/E - 8,94x	11,9x

Valuation & Share Performance

Key Valuation Statistics *(as of 03.05.2025)*

Enterprise Value	**€155bn**	**Revenue (FY24)**	**€185 bn**
Market Cap	**€128bn**	**Adj. EBITDA (FY24)**	**$43bn**
P/E	x8,9	EBITDA Margin '24	21.85%
EV/EBITDA	3,9x	Debt / EV	37.64%
Cash	€31.8 bn	Total Debt	$60.09bn

Share Price	Current: 56,2€	High/Low (1Y) : 50,8€/ 70,1€

Totalenergies Business Model

Competitors

Super Majors

Chevron

ExxonMobil

bp

Shell

Majors

ConocoPhillips

Eni

BR

equinor

Operating Segments

Exploration & Production (E&P)

This segment is TotalEnergies' largest revenue contributor, accounting for 48.62% of total revenue in 2024. It focuses on oil and gas exploration and production, with hydrocarbon output of 1.947 Mboe/d. Despite lower oil prices, higher gas realizations and targeted investments have helped maintain solid performance.

Integrated LNG

Integrated LNG contributed 23.71% to revenue in 2024, reflecting TotalEnergies' strong position in the global LNG market. LNG sales reached 44.3 Mt, supported by robust infrastructure and growing market demand. The segment also includes investments in sustainable gas solutions.

Refining & Chemicals

Refining & Chemicals accounted for 17.11% of revenue, supported by refinery throughput of 1.472 kb/d and stable petrochemical production. Despite some operational challenges, this segment remains a critical component of TotalEnergies' integrated energy model.

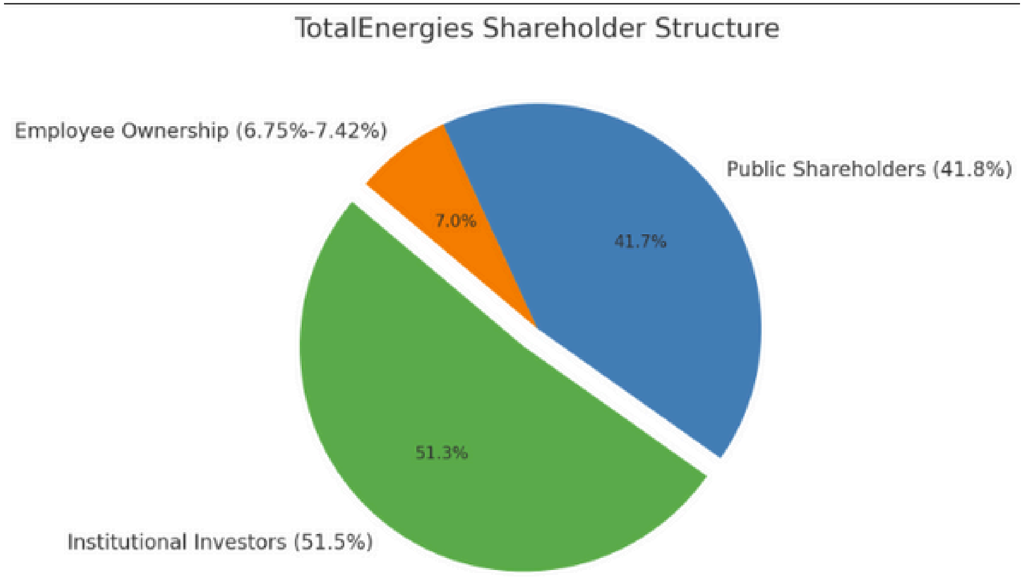
Integrated Power

Integrated Power generated 10.56% of revenue, driven by electricity production of 41 TWh, 60% of which came from renewables. The segment focuses on solar, wind, and flexible gas capacities, reinforcing TotalEnergies' leadership in the energy transition.

Shareholder Ownership Analysis

Ownership Analysis

Ownership Structure: A Stable and Balanced Foundation
TotalEnergies' ownership includes institutional investors (51.5%), public shareholders (41.8%), and employee ownership (6.75%-7.42%), ensuring stability and balance. Top 10 institutions hold ~13%, with no entity exceeding 8%. Recent changes include a 15.6% increase by Capital Research and a 4.2% rise in ESG-focused holdings, while BlackRock cut exposure by 5.35%.



Strategy

Strategy

1.Oil & Gas: Sustaining Production & Expansion

- 2024 CAPEX Allocation: $5.9 billion (one-third of total CAPEX).
- 2024 Production: 2.43 Mboe/d (+2% YoY).
- 2025 Growth Target: >3% production increase.
- Strategic Developments: Focus on new projects, including Marsa LNG (Oman), and key acquisitions in Malaysia and Texas to maintain strong upstream operations.

2. Integrated LNG: Strengthening Market Leadership

- 2024 CAPEX Allocation: Included in the Oil & Gas budget, with a focus on LNG expansion.
- 2024 Performance: $4.9 billion adjusted net operating income.
- 2025 Sales Target: >40 Mt/year LNG.
- Strategic Moves: Expansion through new LNG projects, acquisitions, and long-term contracts, particularly in Asia, to solidify TotalEnergies' role in the global LNG market.

3. Integrated Power (Renewables): Scaling Low-Carbon Growth

- 2024 CAPEX Allocation: $4.8 billion (27% of total CAPEX).
- 2024 Power Production: 41 TWh (+23% YoY).
- 2025 Target: >50 TWh, representing 10% of TotalEnergies' total energy output.
- Investment Focus: Accelerating renewable energy capacity to align with the company’s long-term low-carbon strategy.
- Strategic Goal:

TotalEnergies aims to achieve sustainable, balanced growth by maintaining robust investments in traditional hydrocarbons while aggressively expanding LNG and renewables, reinforcing its leadership in the energy transition.

Operating Forecast

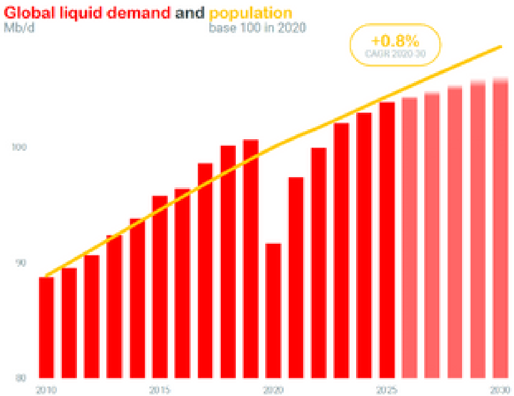
Revenue & EBITDA Forecast

Forecast		2024a	2025a	2026a	2027a	2028a	2029a
		Actual	*Forecast*	*Forecast*	*Forecast*	*Forecast*	*Forecast*
Revenues		**195600,00**	**197556,00**	**199531,56**	**201526,88**	**203542,14**	**205577,57**
	growth		*1,00%*	*1,00%*	*1,00%*	*1,00%*	*1,00%*
EBITDA		**43143,00**	**43574,43**	**44010,17**	**44450,28**	**44894,78**	**45343,73**
	margin	*22,06%*	*22,06%*	*22,06%*	*22,06%*	*22,06%*	*22,06%*
D&A		**12025,00**	**12145,25**	**12266,70**	**12389,37**	**12513,26**	**12638,40**
	%of revenues	*6,15%*	*6,15%*	*6,15%*	*6,15%*	*6,15%*	*6,15%*
EBIT		**31118,00**	**31429,18**	**31743,47**	**32060,91**	**32381,52**	**32705,33**

Operating Forecast

TotalEnergies expects strong growth, targeting over 3% hydrocarbon production growth in 2025 (up from 2.43 million barrels/day in 2024), driven by projects in the Gulf of Mexico and Brazil. LNG sales capacity is set to exceed 40 million tons/year by 2025, while electricity production will surpass 50 TWh, representing 10% of hydrocarbon output. Shareholder returns include a 7% dividend hike and $2 billion quarterly buybacks in 2025.

Oil & Gas



Major oil projects (2024-30 start-up)

		kboe/d	share	op.	FID	FO
Mero 2	Brazil	180	19.3%		✓	✅
Anchor	US	75	37.1%		✓	✅
Mero 3	Brazil	180	19.3%		✓	2024
Ballymore	US	75	40%		✓	2025
Mero 4	Brazil	180	19.3%		✓	2025
Ratawi Phase 1	Iraq	110	45%	•	✓	2025
Tilenga	Uganda	230	56.7%	•	✓	2026
Kaminho	Angola	70	40%	•	✅	2028
GranMorgu	Suriname	220	40%*	•	✅	2028
Atapu 2	Brazil	225	15%		✅	2029
Sépia 2	Brazil	225	16.9%		✅	2029

✅ 2024 milestones

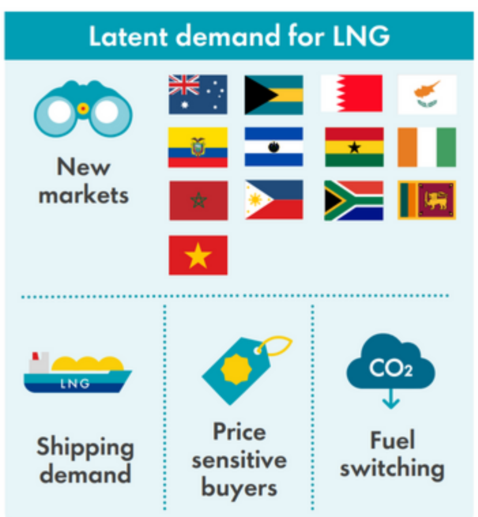
* After 20% state back-in

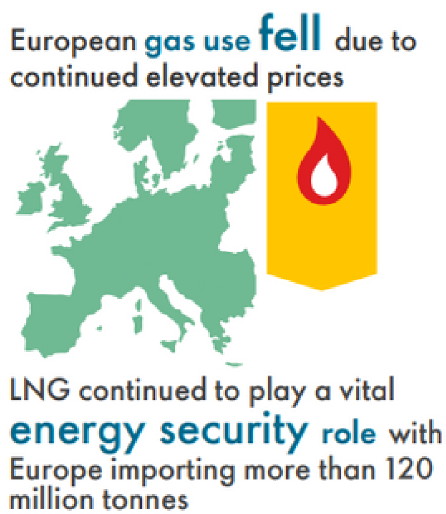
Oil industry

Oil accounted for **38%** of the primary energy consumed worldwide in 2023. Alternative energy sources are still relatively underdeveloped on a global scale, comprising only **8.6%** of the energy mix for renewable energies (excluding hydropower).

At the beginning of 2025, Brent prices remain volatile between **$70 and $80/b**, supported by the willingness of OPEC+ countries to balance oil markets that are facing strong supply growth from non-OPEC countries (US, Guyana, Brazil). According to the IEA, global oil demand is anticipated to grow by 1.1 Mb/d in 2025, up from a 0.8 Mb/d increase in 2024.

Focused on delivering major high-margin oil projects.





Gas industry

Global liquefied natural gas (LNG) flows rose by 4.5% in 2022, reaching 389 million tons. Overall, demand was driven by European market imports (+59.5% year over year), as Europe turned heavily to LNG purchases to replace its Russian gas supplies. In Europe, lower Russia pipeline flow and low storage levels (delays of some projects) will increase LNG call in 2025.

The global LNG market will continue growing into the 2040s, mostly driven by **China's** industrial decarbonization and strengthening demand in other Asian countries.

LNG driving growth as a transition fuel.

sources : Xerfi, TotalEnergies, Shell

Competitors

BP : Accelerating its pivot to low-carbon sources (wind, solar, hydrogen), aiming for net-zero emissions by 2050. Streamlining upstream operations and reducing oil & gas production to fund renewable projects. BP is undergoing a more pronounced organizational restructuring, shedding more hydrocarbon assets to focus on renewables.

Shell : Investing heavily in LNG, petrochemicals, and power solutions (EV charging, wind, solar). Shell's scale and global LNG network are comparable to TotalEnergies, but Shell places a heavier focus on power trading and electric mobility solutions.

Chevron : Maintaining disciplined capital investment in traditional oil & gas deep-water, shale while exploring low-carbon technologies (carbon capture, renewable fuels). Chevron remains more conservative in transitioning from hydrocarbons, prioritizing core projects with selective low-carbon ventures.

Exxon : ExxonMobil remains heavily tied to conventional hydrocarbons and major, long-lived projects more so than TotalEnergies, which pursues a balanced approach toward renewables and LNG. TotalEnergies generally has a faster-growing pipeline of renewable energy ventures

Conoco Phillips : Concentrates on crude oil and natural gas exploration and production, especially in resource-rich areas like U.S. shale and certain global assets. ConocoPhillips has fewer downstream and integrated operations unlike TotalEnergies, which is active across the entire value chain.

Super Majors

Shell, Chevron, bp, ExxonMobil

Majors

Eni, BR, ConocoPhillips, equinor

Competitive Landscape

Company	EV/ LTM Sales	EV/ LTM EBITDA	Strategy
TOTAL	P/E: 8.9	EV/Revenu: 2.61 EV/EBITDA: 6.36	TotalEnergies invests 35% of CAPEX ($4.8B) in low-carbon while maintaining 3% annual hydrocarbon growth through 2026. Unlike peers, it follows an integrated power model, combining generation and retail. LNG is a key growth driver, reinforcing its role in the transition. The company targets a 40% reduction in Scope 1+2 emissions by 2030.
ExxonMobil Corporation	P/E: 13,89	EV/Revenue: 1,47 EV/EBITDA: 6,78	Shell dedicates 25% of CAPEX to renewables, positioning itself as a renewable project developer rather than an integrated player. While keeping hydrocarbon production flat, it has an ambitious 50% Scope 1+2 emissions reduction target by 2030. Shell leads in EV charging and biofuels, differentiating itself in clean transportation.
Chevron Corporation	P/E: 15.7	EV/Revenue: 1,5 EV/EBITDA: 6,39	Chevron invests <15% of CAPEX in new energies, prioritizing efficiency in hydrocarbons. It avoids major power sector involvement, but still targets a 35% GHG intensity reduction by 2028. With 3% CAGR hydrocarbon growth, especially in the Permian Basin, Chevron remains the most traditional among peers.
Royal Dutch Shell	P/E: 13.06	EV/Revenue: 0,83 EV/EBITDA: 4,13	ExxonMobil, initially slow to transition, now invests $17B (2022-2027) in lower-emission initiatives, focusing on CCS and hydrogen rather than renewables. It remains deeply committed to oil and gas, particularly in Guyana and the Permian Basin, while aiming for net-zero Scope 1+2 emissions by 2050.
BP plc (BP)	P/E: 32.00	EV/Revenue: 0,59 EV/EBITDA: 3,97	BP leads the transition, planning $5B annual low-carbon investment and 50 GW renewables by 2030. Unlike its peers, it aims to cut oil and gas output by 40% while achieving a 35-40% Scope 1+2 emissions reduction by 2030. BP is pivoting toward a fully integrated energy model, embracing hydrogen, EVs, and renewables.

Investment Thesis

Resilient Performance and Integrated Model

- TotalEnergies reported $18.3 billion in adjusted net income and a sector-leading 14.8% ROACE in 2024, supported by its integrated model spanning oil, gas, LNG, and power. Each segment contributed to stable cash flow generation, with $29.9 billion in CFFO for the year. Its focus on efficiency and sustainability, including a 15% reduction in methane emissions, ensures resilience in a volatile market

Strategic Growth and Diversification

- The company is advancing its low-carbon transition, investing $4.8 billion in renewable energy in 2024. This supports its goal to achieve 50 TWh of electricity production and 40 Mt of LNG sales by 2025. Strategic acquisitions, such as renewable energy projects in Germany and LNG assets in Oman and Malaysia, further strengthen its growth trajectory

Robust Shareholder Returns and Financial Health

- TotalEnergies combines a 7% dividend increase with $8 billion in share buybacks, supported by its robust generation of cash flow cash flows and disciplined capital allocation. Its gearing of 8.3% reflects strong financial health, enabling consistent returns while funding new projects.

Valuation Summary

Stock Price Performance (as of 05.03.2025)

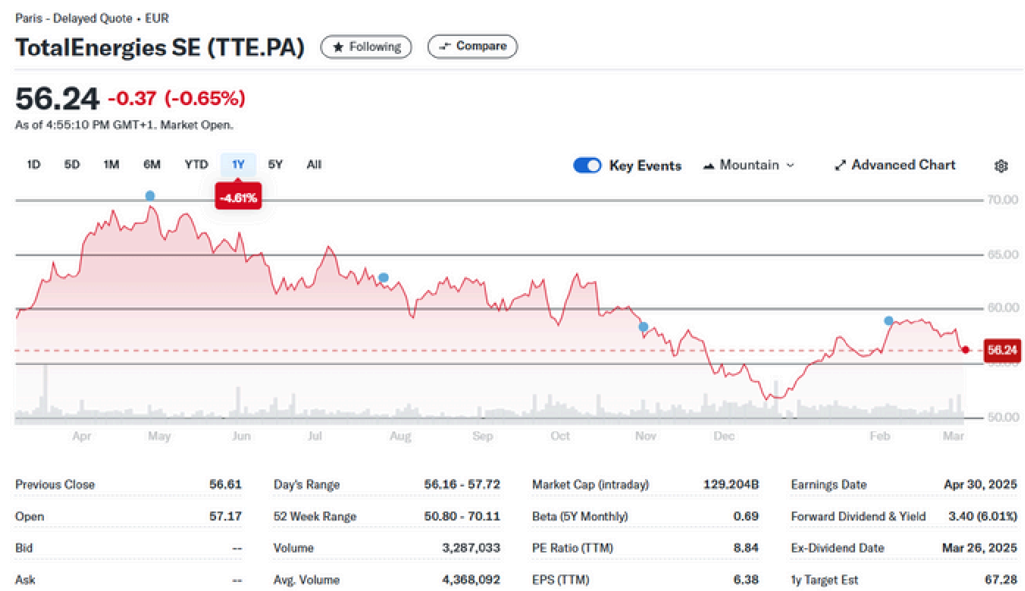
Overperformance over the last 5 years for TotalEnergies:

1Y:
In the past year, TotalEnergies stock has lost 4,5% over 1 year in comparison the CAC 40 has gained 1% due to the recent gains of the defense industry, a general upward trend induced by the uncertainty around Donald Trump policies and the positive sentiment in France after the new goverment has been formed.

5Y:
Over the last 5 years, **TTE** has grown by 42.3%, demonstrating resilience in a volatile energy market. This represents an annual return of 7.3%, compared to the CAC 40's growth of 35.1% over the same period.

Trading near its all-time high:
TTE is currently trading at €56,24, which is far (**20% down**) from its all-time high of €68.

Market sentiment:
The market views **TTE** positively due to its balanced approach to the energy transition. Its strong performance in Integrated LNG and Integrated Power, combined with a 14.8% ROACE (best among majors for the third consecutive year), has bolstered investor confidence. The company's commitment to shareholder returns, with a 7% dividend increase and significant share buybacks, further supports positive market sentiment.



DCF Model Output

Valuation Summary

Terminal Value – Perpetuity Growth Method

Implied Share Price from DCF	75,71€	Share Price Premium to Current Share Price	29,24%

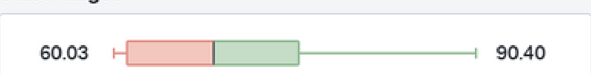
Sensitivity Analysis

		WACC				
		7,25%	7,75%	8,25%	8,75%	9,25%
PGR	1,7%	$ 74,78	$ 72,98	$ 71,24	$ 69,54	$ 67,88
	1,9%	$ 74,78	$ 72,98	$ 71,24	$ 69,54	$ 67,88
	2,1%	$ 74,78	$ 72,98	$ 71,24	$ 69,54	$ 67,88
	2,3%	$ 74,78	$ 72,98	$ 71,24	$ 69,54	$ 67,88
	2,5%	$ 74,78	$ 72,98	$ 71,24	$ 69,54	$ 67,88

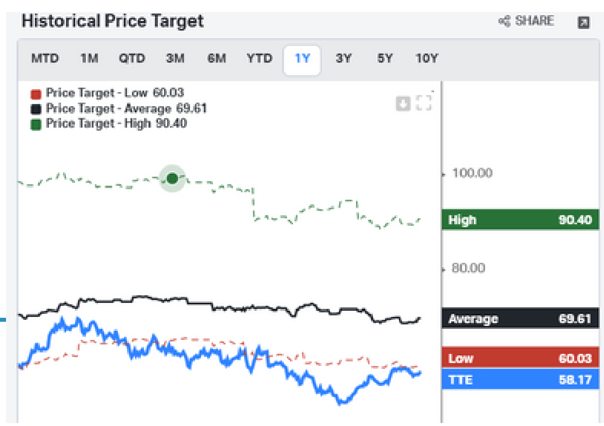
WACC Assumptions

WACC	Cost of Equity	Cost of Debt	Risk Free Rate France
7.56%	6.73%	4,5%	3.08%

Price Target



12-Month Average Target	69.61
Current Price	58.17
Return Potential	19.66%
Trailing 1Y Price Return	-2.73%



Catalysts Considerations

LNG Scalability: Expanding capacity to 40+ Mt/year by 2025 with new projects in Oman, Nigeria, and Malaysia. Secures contracts linked to Brent, reducing exposure to gas price volatility.

Integrated Power Acceleration: Targeting over 50 TWh production by 2025 (+23% YoY). Positioned to achieve 12% ROACE by 2028, outperforming peers like Shell and Chevron in renewable power.

Shareholder Returns: $8B buybacks in 2024 with a 7% dividend hike. Combines strong cash flow with a >40% payout policy, ensuring investor confidence.

Gas-Power Synergy: 23 GW of flexible power generation supports LNG trading and low-carbon energy integration, creating operational resilience.

Early CCS Adoption: Launch of the UK's first CCS project (Northern Endurance Partnership), positioning as a leader in carbon capture solutions.

High Impact Low

Low Probability High

Risk Considerations

Legend

High Risk | Medium Risk | Low Risk

Refining Margin Vulnerability: European refining margins dropped 44% in 2024, significantly impacting downstream income compared to Chevron’s US-focused refining.

Transition Execution Challenges: Balancing 3% annual oil production growth with 70% renewable electricity by 2030 and a 60% methane emissions cut by 2025 poses execution risks.

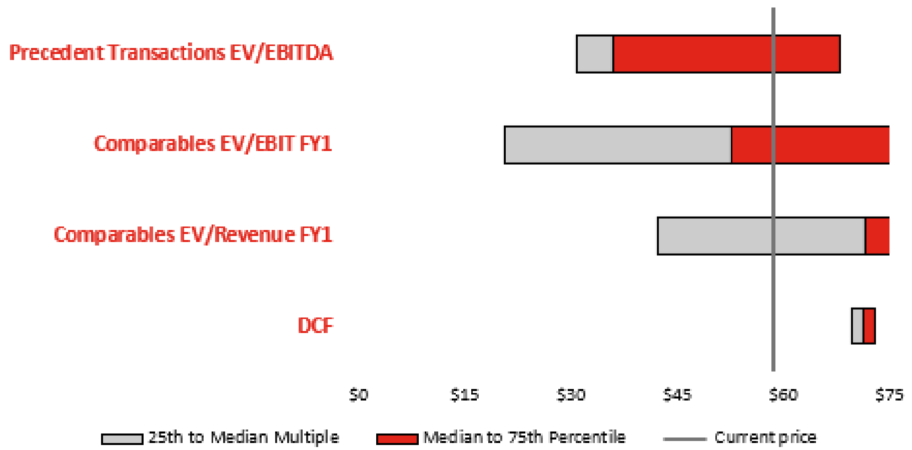
Energy Price Sensitivity: Dependency on Brent prices; a drop below $60/bbl could result in $2B/year discretionary investment cuts. LNG portfolio has only 50% long-term contract coverage, exposing 20 Mt/year to volatile spot markets.

Competitor Gaps: Less exposure to the Permian basin (Chevron's strength) and a smaller offshore wind portfolio compared to Shell reduce competitiveness in key growth areas.

Impact: Low – High

Probability: Low – High

Price Target & Recommendation



Price Target

Valuation Summary

Analysis	Price	Weight
Consensus	68,3€	35%
Comparables	71€	30%
DCF	71€	30%
Precedent Transaction	100€	5%
Target Price	71,5€	

This is thus a

BUY

The stock should be bought at the current price (56,2€)